

Document Control	
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I) Background

This Policy shall be called as Valuation Policy (“**Policy**”)

Invicto Trust (AIF) (“the Fund or the Trust”) is a registered intermediary with the Securities and Exchange Board of India (“SEBI”) as a Category II Alternative Investment Fund under the SEBI (Alternative Investments Funds) Regulations, 2012 (“AIF Regulations”). Credent Asset Management Services Private Limited is the Investment Manager of the Fund. (“the Private Limited” or “the Investment Manager”)

This Policy is in line with the requirements of SEBI (Alternative Investment Funds) Regulations, 2012.

The Private Placement Memorandum (PPM) of the Fund, IMA, Contribution Agreement(s) and Trust Deed shall collectively be referred to as the “**Fund Documents**”. Capitalized terms not defined herein shall have the meaning as set out in the Fund’s PPM.

II) Scope:

The scope of the Policy shall be as stated here below:

- ✓ To define the purpose of policy.
- ✓ To define the valuation procedures adopted by the Fund.
- ✓ To define frequency for undertaking valuation.
- ✓ Describing the valuation methodology.
- ✓ Deviation to the policy.
- ✓ Periodicity of review

(III) Purpose of the policy:

The purpose of valuation policy adopted by Investment Manager for valuation under each scheme is primarily to:

- ✓ Ensure that valuation is undertaken consistently.
- ✓ Ensure that the securities/assets under the scheme are valued on a true and fair basis.
- ✓ Ensure transparency by making adequate disclosures.

(IV) VALUATION PROCEDURES

- ✓ The Investment Manager shall appoint a Valuation agency to undertake valuation of the assets forming part of the Fund.
- ✓ The valuation shall be undertaken in accordance with prevailing regulation and prevalent accepted valuation methodology.
- ✓ The Valuation agency shall disclose the valuation methodology and a description of valuation methodology in the valuation report. Also, specific disclosures with regards to assumptions /rationale for selection of a particular methodology for valuation, would be forming part of the Report.

(V) Valuation Methodology

Valuation of assets of the Scheme shall be done in the manner and subject to such conditions as may be prescribed by SEBI from time to time and in accordance with Applicable Laws.

Pursuant to the SEBI circular ref. SEBI/HO/AFD/PoD/CIR/2023/97 dated June 21, 2023 on “Standardised approach to valuation of investment portfolio of Alternative Investment Funds (AIFs)”, the Scheme shall ensure that in case of investments in any securities as per this Memorandum for which valuation norms have already been prescribed under the SEBI (Mutual Fund) Regulations, 1996, the valuation norms for such securities shall be followed as prescribed thereunder. In case, valuation norms for any securities have not been prescribed under the SEBI (Mutual Fund) Regulations, 1996, then valuation for such securities shall be carried out as per valuation guidelines endorsed by any AIF industry association, which in terms of membership represents at least 33% of the number of SEBI registered AIFs, in accordance with the Regulations.

The Investment Manager understands that the Indian Venture and Alternate Capital Association (“IVCA”) being such AIF industry association, which in terms of membership represents at least 33% of the number of SEBI registered AIFs, has formally endorsed the International Private Equity and Venture Capital (IPEV) valuation framework. The updated version of the IPEV valuation framework may be accessed at <https://www.privateequityvaluation.com/Valuation-Guidelines> (the relevant version as of the date of this Memorandum is the December 2022 International Private Equity and Venture Capital Valuation Guidelines).

The valuation methodology to be employed by the Scheme in respect of equity securities, equity linked securities, debt securities, convertible and non-convertible securities, and other permissible securities are expected to be carried out in accordance with the IPEV valuation framework, as amended from time to time, or such other framework/s as may be endorsed by the IVCA, to the extent permissible under Applicable Laws. To the extent not permissible under Applicable Laws, or due to any other consideration reasonably determined by the Investment Manager in accordance with Applicable Laws, the valuation methodology of such securities shall be in accordance with the valuation norms prescribed under the SEBI (Mutual Fund) Regulations, 1996.

A summary of the valuation norms prescribed under the SEBI (Mutual Fund) Regulations, 1996 has been provided below.

Asset Class	Traded/ Non-traded	Methodology for valuation
Equity Shares / Preference Shares / Equity Warrants/ Equity rights/rights entitlement/partly paid up rights shares	Traded	- NSE shall be the primary exchange, if not traded on NSE, BSE closing price to be considered. - If the security is not traded either on NSE or BSE, the earliest previous day's close price shall be used, provided such day is not more than thirty days prior to the valuation date. If it is beyond 30 days, it will be valued like a non-traded security.
	Non-Traded	When a share is not traded on any stock exchange, on the date of valuation, then the price shall be in accordance with the valuation

		report obtained by an independent valuer or the previous closing price on NSE / any other stock exchange will be used, provided such closing price is not exceeding a period of 30 calendar days. • In all other cases: a) Equity shares: fair valuation of the security will be suggested by Investment Manager. b) Preference shares: Intrinsic value will be considered after applying appropriate discount. c) Equity rights /Equity Warrants/ Rights Entitlement / Partly paid up Rights shares: Valuation price will be arrived, after applying appropriate discount, after reducing the exercise price / issuance price from the closing price of the underlying cash equity security. d) Demerger: In the case of demerger pending listing, the resultant company(ies) shall be valued at the intrinsic value arrived at on the date of corporate action after applying appropriate discount. e) Securities under the process of delisting: Securities whose traded prices are not available pending completion of delisting process, shall be valued at the last traded price or the offer price whichever is lower. f) Securities pending lock-in period / pending listing valuation shall be done on the last quoted closing price of security, after applying suitable discount for illiquidity. g) Securities under suspension: In case trading of a security is suspended up to 30 days, then the last quoted closing price shall be considered for valuation of the security. If an equity security is suspended for more than 30 days, then the securities shall be valued at intrinsic value arrived.
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		• Intrinsic value of the securities referred in (b), (d) & (g) above shall be considered by the Investment Manager.
Mutual Fund Units		• Units of mutual funds will be valued at latest published NAV. • Listed ETFs: For Indian exchange traded funds, the closing price of the principal stock exchange shall be considered for valuation of such security. • If units are not traded on principal stock exchange on a particular valuation day, the closing price on any other stock exchange where units are traded will be used for valuation. • If units are not traded on any stock exchange on a particular valuation day, then closing price at which it traded on the principal stock exchange or any other stock exchange, as the case may be, on the earliest previous day will be used provided such date is not more than 30 days prior to the valuation date.
Fixed Income and related securities	Residual Maturity Up-to 91 Days	• Discounted instruments will be valued by amortisation on a straight-line basis to maturity from cost or last valuation price whichever is more recent.
Abnormal Situations & Market Disruptions		• In normal situations the above methods will be used for valuation. However, in abnormal market conditions, due to lack of market trading or otherwise it may not be possible to obtain fair valuation using “normal” means. In such situations, the realizable value may be substantially different from the benchmark-based prices obtained. Such events may comprise (list indicative and not exhaustive) monetary policy or other regulatory related events, large redemptions, or other external factors could constitute abnormal events.

(VI) Frequency

The frequency of such valuation shall be once every 6 (six) months. However, the Investment Manager may carry out such valuation once every 12 (twelve) months, subject to the

approval of Super-Majority of Contributors of the Scheme.

(VII) Deviation

- ✓ The Manager and the key management personnel of manager shall ensure that the independent valuer computes and carries out valuation of the investments of the scheme of the AIF in the manner as specified by the Board from time to time.
- ✓ In terms of Regulation 23(6) of AIF Regulations, Investment Manager shall be responsible for true and fair valuation of the investments of the scheme of the AIF. In terms of proviso to aforesaid Regulation, in case the established policies and procedures of valuation do not result in fair and appropriate valuation, the Investment Manager shall deviate from the established policies and procedures to value the assets or securities at a fair value and document the rationale for such deviation.
- ✓ Any deviation from the valuation policy shall be approved by appropriate Senior Management.
- ✓ Following disclosures are mandated by SEBI vide circular SEBI/HO/AFD/PoD/CIR/2023/97 dated June 21, 2023:
 - At each asset level, in case there is a deviation of more than 20% between two consecutive valuations or a deviation of more than 33% in a financial year, the manager shall inform the investors the reasons/factors for the same, both generic and specific, including but not limited to changes in accounting practices/policies, assumptions/projections, valuation methodology and approach, etc. and reasons thereof.
 - Any change in the methodology and approach for valuation of investments of scheme of AIF, shall be construed as material change significantly influencing the decision of the investor to continue to be invested in the scheme of the AIF and the AIF shall adhere to process to be complied with in such cases as mentioned in SEBI circular No. CIR/IMD/DF/14/2014 dated June 19, 2014 and SEBI Circular No. CIR/IMD/DF/16/2014 dated July 18, 2014.

(VIII) REPORTING OF VALUATION OF INVESTMENTS OF AIF TO PERFORMANCE BENCHMARKING AGENCIES

- ✓ Manager of AIF shall ensure that a specific timeframe for providing audited accounts by the investee company to the AIF is included as one of the terms in subscription agreement / investment agreement with the investee company, so as to enable AIFs to report valuation based on audited data of investee companies as on March 31 to performance benchmarking agencies within the specified timeline of six months.
- ✓ Manager of AIF shall ensure that valuation based on audited data of investee company is reported to performance benchmarking agencies only after the audit of books of accounts of the AIF in terms of Regulation 20(14) of AIF Regulations, within the stipulated timelines.
- ✓ The manager of AIF shall submit report on compliance with the provisions of this

circular on SEBI Intermediary Portal (www.siportal.sebi.gov.in) in the format as specified therein and/or as part of quarterly regulatory reporting to SEBI, as the case may be.

(IX) DISCLOSURES

The Investment Manager shall disclose the following as part of changes in PPM to be submitted annually to SEBI and investors:

- ✓ Details of changes in the valuation methodology and approach, if any, for valuation of each asset class of the scheme of the AIF;
- ✓ Details of changes in accounting practices/policies, if any, of the investee company and the scheme of the AIF; and
- ✓ Details of impact of the aforesaid changes in terms of valuation of the investments of the scheme of the AIF.

(X) POLICY REVIEW

This Policy shall be reviewed and amended whenever there are any regulatory amendments or on an annual basis, whichever is earlier with the approval of the Board of Directors.